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INTELLECTUAL PROPERTY RIGHTS

INTELLECTUAL PROPERTY RIGHTS – SYLLABUS

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Unit -I: Introduction to Intellectual Property

Introduction to Intellectual Property

Intellectual Property is a field of law that aims to protect the knowledge create through human effort in order to stimulate and promote further creativity

- Authors – Writes books
- Musicians – Compose songs
- Pharma Company – Develop drugs

Unless assured, they cannot be developed further

By the intellectual property, the public as well benefits not only creators

On the other hand intellectual property is given complete rights to owner, a monopoly can be there in the market by charging excessive prices for invention/work which would harm public.

Properties

Real Property	**Personal Property**	**Intellectual Property**
➢ Land ➢ Real Estate	➢ Jewellery ➢ Cars ➢ Artwork	(Also referred as Industrial Property) ➢ Human Creativity literature ➢ Slogans ➢ Songs ➢ New scientific inventions

Meaning of Intellectual Property

Intellectual Property includes

- ❖ Original Ideas
- ❖ Research results
- ❖ Critical business information

IP emanates from human creative labour

Intellectual Property	Real Property
Intangible Understands the boundaries of private space Ex: • Patents • Copyrights • Trademarks • Industrial Rights	Tangible Have real boundaries Ex: • Land • Building • Cash • Jewellery

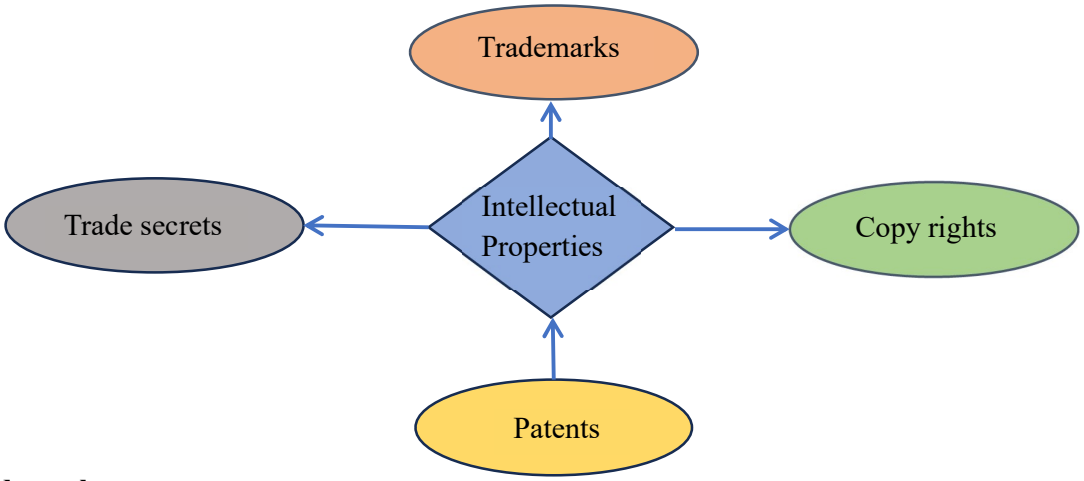
- ✓ Intellectual property rights are legal rights are given to individual/groups as a privilege who have created something with their intellectual creativity

- ✓ Individuals/ creators can be granted such rights that can be used in business practices related to areas such as literature, music, invention, etc.
- ✓ The creator/inventor gets exclusive rights against any misuse without his/her prior information. However the rights are granted for a limited period of time to maintain equilibrium
- ✓ IP is a intangible creation

  Examples:- 1. Authors copyright on a book/ article
  2. A distinctive logo design representing soft drink
  3. Unique design elements of a website
  4. Patent on a process to manufacture chewing gum – trade secret
- ✓ IPR is legal rights given to people over creation

  IPR refers to creations of the mind
  - ❖ Inventions
  - ❖ Literary and artistic works
  - ❖ Symbols
  - ❖ Names
  - ❖ Images
  - ❖ Designs ….

Types of Intellectual properties:



Trademarks:

- ✓ Trademark/Service mark is a word, name, symbol, device
- ✓ Indicates a source, quality and ownership of product or service
  - ❖ Trademark is used in marketing of a product (Eg: REEBOK)
  - ❖ Servicemark is used in identifies a service (eg: STARBUCKS)
- ✓ It distinguishes the products/services of one person from another
- ✓ Companies expend a great deal of time, effort and money in establishing consumer recognition and confidence in their marks.
- ✓ A chain of clothing stores could not obtain a registered trademark for Clothing goods as it is generic
- ✓ Marks may not be protectable if they are generic in nature or merely descriptive

- ✓ Marks that are protectable are those that are
    - Coined (Eg: KODAK)
    - Arbitrary (Eg: Shell)
    - Suggestive (Eg: STAPLES)
- ✓ Trademarks are generally protected from their date of first public use
- ✓ Registration of a mark is required to secure protection of mark as it offers numerous advantages such as bringing an action to the courts notice on infringement of mark
- ✓ A trademark registration is valid for 10 years and may be renewed for additional 10year period thereafter as long as the mark in use
- ✓ Registrants has to file an affidavit between fifth and sixth years after registration and every 10 years to verify the mark is in continued use.
- ✓ Marks are not in use are then available to others
- ✓ A properly selected, registered and protected mark can be of great value to a company or individual desiring to establishing and expand market share.

Copyrights:

- ❖ Copyright is a form of protection granted to authors of original works of authorship
- ❖ Eg:
    - Books
    - Songs
    - Jewellery
    - Movies
    - Sculptures
    - Paintings
    - Choreographic works
    - Computer software
- ❖ Copyright protection is available for more than merely serious works of fiction or art.
    - Marketing materials
    - Advertising copy
    - Cartoons
- ❖ Certain works are not protectable by copyrights suchas
    - titles,
    - names,
    - short phrases or
    - list of ingredients

similarly, Ideas, methods and processes are not protectable by copyright

- ❖ Copyright protection exists automatically from the time a work is created in fixed form
- ❖ The owner of copyright has the
    1. Right to reproduce
    2. Prepare derivative works based in original works (eg: sequels)
    3. Distribute copies of work
    4. Perform and display the work

- ❖ Violating the rights are protected by infringement actions
- ❖ Fair use – Use of insignificant work/portion of work for non-commercial use purposes or parody of copyrighted work.
- ❖ Copyrighted works are automatically protected from the moment of their creation for a term generally enduring for the authors life plus and additional 70 years after the authors death.
- ❖ After which the work will fall into the public domain and may be reproduced, distributed or performed by anyone.
- ❖ From the time of creation in a fixed form the copyrights are issued to the authors after registration process.

Patents:

- A patents isa grant from the government that permits its owner to prevent others from marketing using selling/importing an invention

PATENTS

Utility Patents	**Design Patents**	**Plants Patents**
Most common patents which cover useful inventions and discoveries Type Writer Automobile Genetically alternative	Which discovers new original and ornamentals designs for articles Furniture	Which cover new and distinct asexually reproduced plant varieties Hybrid flowers Hybrid plants

- Plant protection is available only for novel and non-obvious inventions
- Generally patent law prohibits the patenting of an invention that is merely an insignificant addition to or minimize alteration of something already known
- Some items cannot be protected by patent, such as pure scientific principles and natural bodies
- To obtain a patent, an inventor must file an application with the PTO that fully describes the invention
- Patent process is an expensive, time consuming and complex process and it takes about three years to issue a patent
- For utility patents and plant patents, patent protection exists for 20 years from the date of filing of application. For design patents, patent protection exists for 14 years
- After this period of time, the invention falls into public domain and may be used by any person without permission
- Patents promote the public good in that patent protection incentivizes inventors
- Patent law maintains a balance between the need to protect the inventors and the need to allow public access to important discoveries.

Trade Secrets:

- ➢ Trade secret consists of any valuable business information that, if known by competitor would afford the competitor some benefit or advantage

- There is no limit to the type of information that can be protected as trade secrets
    - Recipes
    - Marketing plans
    - Financial Projections
    - Methods of conducting business
- There is no requirement that a trade secret be unique or complex; thus, something as simple and non-technical as a list of customers can qualify as a trade secret as long as it affords its owner a competitive advantage and is not common knowledge.
- If a trade secret were not protectable, companies would have no incentive to invest time, money and effort in research and development that ultimately benefits the public.

Importance of Intellectual property rights

- People have realized the importance of protecting intellectual property assets.
- Some individuals and companies offer only knowledge
    - Computer consultants
    - Advertising agencies
    - Internet companies
    - Software implements

  } Sell only brain power
- International IP alliance estimates that total copyright industries accounts for 11% GDP in 2007 and more than 11 million workers are employed.
- ≈ nearly 126 Billion US $ exports now depend in some form of intellectual property including pharmaceuticals, motor cycles/vehicles, aircrafts… etc.
- Challenges in the field of IPR with the increased rapidity of information exchange through internet. Eg. In 2010 Avtar was the film illegally downloaded most often
- Books, movies, songs can now be copied, infringed and solid illegally with the touch of a keystroke.
- The office of the united states trade representative has estimated that 200-250 US $ Bn loose annually from piracy and other IP infringements.
- The value of trademarks and service marks owned by the cocacola company is estimated to be 70 $Bn making it worlds most valuable brand.
- The field of intellectual property law aims to protect the value of such investments.

International Organizations:

- WTO (World trade Organization)
- WIPO (World Intellectual Property Organization)
- USPTO (Unite States Patent and Trade Mark Office)
- INTA (International Trade Mark Association)

There are number of international organizations and agencies that promote the use and protection of intellectual property.

WTO (World trade Organization)

1. WTO was organized in 1995 and deals with rules of trade among its more than 150 member nations
2. It resolves trade disputes and administers various agreements including those relating to intellectual property. It is headquartered in Geneva, Switzerland and its website is www.wto.org.

WIPO (World Intellectual Property Organization)

1. It was founded in 1970 and is a specialized agency the united nations whose purposes are to promote intellectual promote throughout the world and to administer 24 treaties (eg: Paris convention, Madrid protocol, trade mark treaty law) dealing with intellectual property.
2. More than 180 nations are members of WIPO
3. WIPO is headquartered Geneva, Switzerland and its website is http://www.wipo.net

USPTO (Unite States Patent and Trade Mark Office)

1. The agency charged with granting patents and registering trademarks is the USPTO.
2. It is founded more than 200 years ago and emply more than 10000 emplyees located at 600 Dulany Street, Alexandria, Virginia 22314. Its website is http://www.uspto.gov
3. The USPTO website offers a wealth of information about trademarks and patents, fee schedules, forms and the ability to search and apply for trademarks and patents.

INTA (International trade mark Association)

1. It is nonprofit international association composed chiefly of trademarks owners and practitioners
2. More than 5500 trademark owners and professionals in more than 190 countries belong to INTA, together with others interested in promoting trademarks.
3. INTA offers wide variety of educational seminars and publications including many worthful materials available in http://www.inta.org
4. INTA is located at 655 thord avenue,10th floor, Newyork, NY.

International Conventions, agencies and treaties

- ✓ Paris Convention
- ✓ Berne Convention
- ✓ Madrid Protocol
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Paris Convention:

- One of the first treaties/organizations designed to address trademark protection in foreign countries was Paris convention of 1883.
- It is adopted to facilitate international patent and trademark protection.

- Principle of reciprocity – foreign trademark and patent owners may obtain in a member country the same legal protection and of those member contries
- The paris convention was administered by WIPO.

Berne Convention

- Berne convention was created in 1886 under the leadership of Victor Hugo to protect literary and artistic works at Switzerland
- It has more than 160 member nations
- The united states became a party to Berne Convention in 1989
- The berne convention is administerd by WIPO and is based on the percept that each member nation must treat nationals of other member countries nationals for purpose of copy rights.

Madrid Protocol

- The madrid protocol came into existence in 1996 and allows trademark protection for more than 80 countries including all 27 countries of the European union
- 1891 – Spain it was conducted
- US implemented the terms of the protocol in late 2003.
- The treaty facilitates a one-stop, low-cost, efficient system for the international registration in any number of member countries by filing a single, standardized application.

NAFTA – North American Free Trade Agreement

- The NAFTA came into effect on January 1, 1994 and is adhered to by the United States, Canada and Mexico
- The NAFTA resulted in some changes to US trademark law primarily with regard to marks that include geographical terms.

PCT – Patent Cooperation Treaty

- 1978 – PCT system launched
- PCT international patent system begins operation. The PCT expands rapidly to become WIPO's largest IP filing system internationally today.
- The PCT makes its possible to seek patent protection for an invention simultaneously in each of large number of countries by filing an international patent application.

GATT – General Agreement on Tariffs and trade

- 1947 – Geneva, Switzerland
- It is a legal agreement between many countries whose overall purpose was to promote international trade by reducing /eliminating trade barriers such as tariffs and quotas.
- It remained in effect until 1 Jan 1995 when the WTO was established after agreement by 123 nations.

TRIPS – Trade related aspects of intellectual property

- 1986 – 1994
- TRIPS is administered by WTO and establishes minimum levels of protection that member countries must give to fellow WTO members
- Computer programs must be protected as a copyrightable literary works and countries must prevent misuse of geographical names.

UNIT – II TRADE MARKS

- Trademarks: Purpose and function of trademarks – Categories of Marks
- Acquisition of Trademark rights - Protectable Manner
- Selecting and evaluating trademark
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Purpose and Function of Trademarks:

Trademarks perform two critical functions in the market place

1. Provide assurance that goods are of certain quality and consistency
2. They assist consumers in making decisions about the purchase of goods

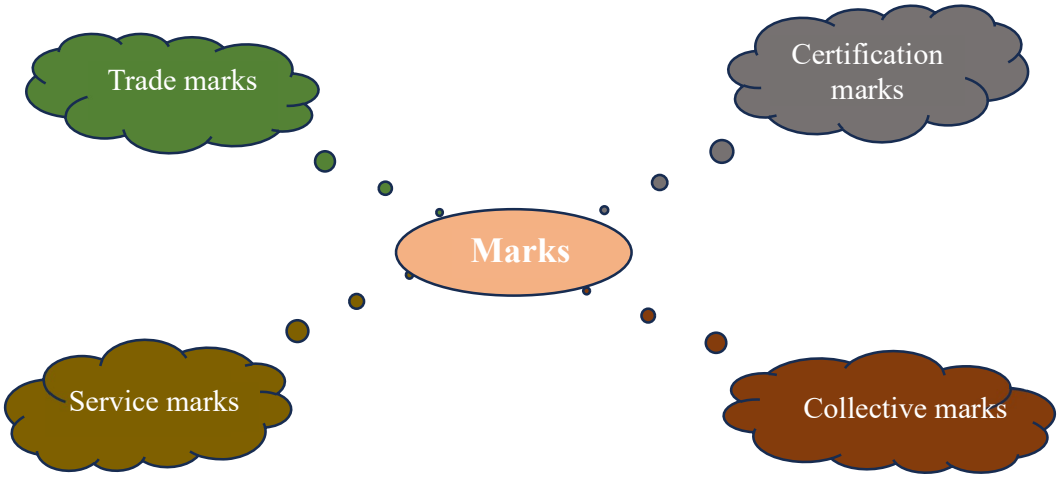
If a trademark such as NIKE® could be counterfeited and used by another on inferior merchandise, there would be no incentive for the owners of NIKE mark to produce high quality shoes to expend money establishing consumer recognition of the products.

Business Benefits	Consumer benefits
Reap the reward of their investment in developing and marketing a product	They are able to identify and purchase desired goods
Develop the business without fearing another business will deceive by using same name or a confusing similar mark for like goods	Consumer loyalty to a particular product/service through the maintenance of consistent quality of products – Good will.
The good will associated the mark with its owner and continue to desire to do business	Consumers may obtain the products they like with the quality promoting the business.

Trademarks provide the following functions:

1. To identify one makers goods/services and distinguish them from those offered by others.
2. They indicate that all goods /services offered under the mark came from a single producer, manufacturer or “source”.
3. They indicate that all goods/services offered under the mark are of consistent quality.
4. They serve as an advertising device so that consumers link a product/service being offered with a mark.

Categories of Trademarks:



Trademarks:

- Trademark is a word, name, symbol or device or a combination thereof used by a person (including business entity or that a person has a bonafide intention to use in commerce.
- It is used to identify and distinguish his/her goods from those manufactured or sold by others and to indicate the source of those goods.

Service marks:

- Service mark is a word, name, symbol, or device or a combination thereof used by a person, or that a person has a bonafide intention to use in commerce.
- It is used to identify and distinguish the services of one person from those of others and to indicate the source of those services
- Trade mark refers to some physical and tangible goods and service mark refers to an intangible service

Certification Marks:

- Certification mark is a word, name, symbol or device or a combination thereof used by a person other than its owner to indicate one of the three things.
  1. Goods/services have certain features in regard to quality, accuracy, material, mode of manufacture or some other characteristic.
  2. To certify regional or other origin.
  3. The work done on the goods/services was performed by the members of a union or other organization.
     Eg: DARJEELING® a mark certifying that certain tea originates in the Darjeeling region of India.
- Certification marks do not indicate a single commercial source of the goods or services and they are not used by the actual owner of the goods or services.

Collective marks:

- Collective mark is one used by a collective membership organization such as labour union, fraternity or professional society to identify that the person displaying mark is a member of the organization.
  Eg: PHI DELTA THETA® indicate the membership of certain organization
- On some occasions, companies use house marks to establish recognition in a wide range of products or services
  Eg: GENERAL MILLS® has a registered one mark for numerous food products, including cerel, biscuit mixes and mashed potatoes.

Acquisition of Trademark Rights:

In most foreign countries, trademark rights arise from registering the mark with a governmental entity.

However, in a global scope, obtaining a trademark right through use or through registration are two major legislative models of system for the grant of trademark rights.

- By use
- By registration

"Use model" is based on the objective facts of trademark use and decides the ownership of a trademark according to that the trademark was first used.

While the "registration model" grants trademark rights according to registration and the first applicant will obtain trademark right.

In history, the earliest trademark legislations all took use principle for instance, the first statue of trademark law of manufacturing signs and trademarks concerning the content of use and non-examination principle enacted by France.

However, since there are many defects of the "USE" principle abandoned this principle which was already implemented for more than hundred years in 1964 and shifted to adopt the registration model which was succeeded by the current code of intellectual property

Article 712-1 of the code provides: "trademark rights shall be obtained through registration".

In INDIA one can acquire and claim a trademark only by registration and not by use.

Protectable Manner:

The registration of trademark confers on the registered properties of the trademark the exclusive right to use the trademark in relation to the goods or services in respect of which the trademark is registered.

Selecting and Evaluating Trademark

Selecting a mark:

The selection of mark occurs in a variety of ways companies hold contests and encourages employees to create a mark for a new product line/service

Branding firms that will conduct surveys and create a mark and logo/design for the company.

Once the mark is selected, it must be sacred and evaluated for use and registrability, if failed then it leads to wastage in expenditure of time and money in advertising, using and applying for a mark that is rejected for registration by the PTO or in the worst scenario, might subject the owner to damages for trademark infringement and unfair competition.

Once the mark is selected, it should be carefully scrutinized to ensure that it will not be excluded protection under the Lanham act.

- Firstly, they have to check whether the mark contains scandalous (giving offense to moral sensibilities and injurious to reputation).
- Whether consent from a living person will be required

After registration of the trademark for goods and services, there shall not be registered the same or confusingly similar trademark not only for the same goods or services but also in respect of similar goods, or services but also in respect of similar goods/services by virtue of section 11(1) of trademarks act 1999.

Moreover, after registration of the trademark for goods/services there shall not be registered the same or confusingly similar trademark even in respect of dissimilar goods or services by virtue of section 11(2) in case of well-known trademarks.

Registered trademark shall not be used by anyone else in business papers and in advertising. Use in comparative advertising should not take under advantage of trademark

Ther is a right to restrain use of the trademark as tradename/part of tradename/name of business concern dealing in the same goods/services.

Evaluating a trademark:

Trademarks are not only used to provide legal protection to a company's name, design, word, etc. Evaluating the exact value of the trademark is challenging.

Two decades ago, no one used used to evaluate the value of their intangible assets of the company. However now, brands create the reputation of a product; motivates the purchasing power and makes the product different from other generic products.

The first step in evaluating the trademark is to examine the historical prospects of trademark like.

- Total cost invested in it.

- Profit margin associated with the products and
- Time it was first used etc…

After considering these options, one must follow the methodologies and different approaches as listed below.

Income Approach:

Most crucial element in which a trademarks value is determined is the income generating power of the business.

The more the earning power, the higher the value of the brand would be.

Through future estimates of economic benefit, cashflows and risks involved, and converting this analysis into simple information; the income approach enables you to evaluate your company trademark.

Market Approach:

In this method, the price of similar marks is considered and compared. It uses market-based indicators of value and takes similar marks into account; it analyses royalty rates and transaction prices to determine what the market is paying for similar intangible assets. In this approach, markets trends are considered and other transactions are analysed.

Cost-approach:
Cost approach considers the implicit as well as explicit cost incurred in creating the trademark. Cost approach also covers the cost accrued (Spent in marketing) in promoting the company and its brand promotion. A particular focus on forecasts of market transactions is employed and estimated time and cost that would be required to make a similar trademark are considered.

Other factors:

Along with the ones listed above, there are other factors which a company should consider while evaluating a trademark or trademarks to maximize their values.

- Qualitative and quantitative characteristics of a trademark
- If there is any contract assigned/associated with a trademark
- Sustainability of the trademark in the market in future
- Market position a trademark holds in the current business
- The capital structure of the company and its modifications according to the needs.

Trademark carries a significant value in the business, and a company should evaluate its brand and know the exact value of their intangible assets. A company should work towards the goal of enhancing the value of trademark and other intangible assets for long-term profits.

Trademark Registration Process:

Investing your time and money to build a particular brand and seeing the same brand name being used by another, robbing you of your hard-earned brand reputation is not an agreeable state of affairs.

Many a time, trademark (TM) owners end up in protracted litigation because when the time was right, they did not do trademark registration in India of their brand name.

- Trademark registration process of the brand name is not a difficult task.
- A few simple steps, as explained below and you would have the much-needed legal protection of your brand name registration in India.

A trademark application can be made by:

- Private firms
- Individuals
- Companies- Limited Liability Partnership, OPC, Private limited, Public, Partnership, etc.
- NGO's

Any person, pretending to be the proprietor of a trademark used or intended to be applied by him, may apply in writing in a prescribed manner for registration. The application must include the trademark, the goods or services, name and address of the candidate with power of attorney, the time of use of the mark. The application must be in English or Hindi. It must be registered at the appropriate office.

Step 1: Trademark Search

- Many entrepreneurs do not comprehend the importance of a TM search.
- Having a unique brand name in mind is not good enough reason to avoid a TM search.
- TM search helps you to know if there are similar trademarks available and it gives you a fair picture of where your trademark stands, sometimes, it also gives you a forewarning of the possibility of trademark litigation.
- Why waste your money in time-consuming trademark litigation later when you can choose to avoid it in the first place?

Step 2: Filing Trademark Application

- Based on the nature of product a class is chosen among 45 classes of trademark.
- Once the chosen brand name or logo is not listed in the Trademark Registry India, then we can opt for registering the same.
- The first step is to file a trademark application at the Trademark Registry India through online / offline.
- Once the application is filed, an official receipt is immediately issued for future reference with TM application number.

Step 3: Examination

- The examination might take around 12-18 months.
- The examiner might accept the trademark absolutely, conditionally or object.
- If accepted unconditionally, the trademark gets published in the Trademark Journal.

- If not accepted unconditionally, the conditions to be fulfilled or the objections would be mentioned in the examination report and a month's time would be given to fulfil the conditions or response to the objections.
- Once such response is accepted, the trademark is published in the Trademark Journal.
- If the response is not accepted, one can request a hearing. If in the hearing, the examiner feels that the trademark should be allowed registration, it proceeds for publication in the Trademark Journal.

Step 4: Publication

- The step of publication is incorporated in the trademark registration process so that anyone who objects to the registering of the trademark has the opportunity to oppose the same.
- If, after 3-4 months from publication there is no opposition, the trademark proceeds for registration.
- In case there is opposition; there is a fair hearing and decision are given by the Registrar.

Step 5: Registration Certificate

- Once the application proceeds for trademark registration, following publication in Trademark Journal, a registration certificate under the seal of the Trademark Office is issued.

Step 6: Renewal

- The trademark can be renewed perpetually after every 10 years. Hence, your logo or brand name registration can be protected perpetually.

International Registration:

The system of international registration of marks is governed by two treaties:

The Madrid Agreement, concluded in 1891 and revised at Brussels (1900), Washington (1911), The Hague (1925), London (1934), Nice (1957), and Stockholm (1967), and amended in 1979, and the Protocol relating to that Agreement, which was concluded in 1989, with the aim of rendering the Madrid system more flexible and more compatible with the domestic legislation of certain countries which had not been able to accede to the Agreement.

The Madrid Agreement and Protocol are open to any State which is party to the Paris Convention for the Protection of Industrial Property. The two treaties are parallel and independent and States may adhere to either of them or to both.

In addition, an intergovernmental organization which maintains its own Office for the registration of marks may become party to the Protocol.

Instruments of ratification or accession must be deposited with the Director General of WIPO.

States and organizations which are party to the Madrid system are collectively referred to as Contracting Parties.

The system makes it possible to protect a mark in a large number of countries by obtaining an international registration which has effect in each of the Contracting Parties that has been designated.

Trademark Infringement

The Trademarks Act, 1999 (hereinafter referred to as the Act) is the legislation that protects trademarks in India. The Act lays down the rules dealing with registration, protection and penalties against infringement regarding trademarks. Trademarks are given the status of intellectual property across the globe. There are many organizations, both international and national, that endeavour to protect intellectual properties such as trademarks. In India, the organization that deals with the protection of trademarks is the Indian Patent Office administered by the Controller General of Patents, Designs and Trademarks. In simple words, trademark infringement is the unauthorized usage of a mark that is identical or deceptively similar to a registered trademark. The term deceptively similar here means that when an average consumer looks at the mark, it is likely to confuse him/her of the origin of the goods or services.

Types of Trademark Infringement

When looking into trademark infringement, one must know that are two types of infringement:

1. Direct infringement

Direct infringement is defined by Section 29 of the Act. There a few elements that have to be met for a direct breach to occur; they are as follows:

Use by an unauthorized person: This means that violation of a trademark only happens when the mark is used by a person who is not authorized by the holder of the registered trademark. If the mark is used with the authorization of the holder of the registered trademark, it does not constitute infringement.

Identical or deceptively similar: The trademark used by the unauthorized person needs to either be identical to that of the registered trademark or deceptively similar to it. The term ‘deceptively similar’ here only means that the common consumer ‘may’ be confused between the marks and may think of them being the same. The operational word here being ‘may’, it only needs to be proven that this is a possibility and does not require proof of actually happening. As long as there is a chance of misrecognition of the marks, it is enough for proving infringement.

Registered trademark: The Act only extends protection to trademarks that have been registered with the trademark registry of India. In the case of breach of an unregistered mark, the common law of passing off is used to settle disputes. It is a tort law that is used where injury or damage is caused to the goodwill associated with the activities of another person or group of persons.

Class of goods or services: For the infringement of the trademark, the unauthorised use of the

mark has to be used for the propagation of goods or services that fall under the same class of the registered trademark.

2. Indirect infringement

Unlike direct infringement, there is no provision in the Act that deals with indirect infringement specifically. This does not mean that there is no liability for indirect infringement. The principle and application of indirect infringement arise from the universal law principle. It holds accountable not only the principal infringer but also anyone that abets, induces that direct offender to infringe. There are two types of indirect infringement:

Vicarious liability: According to Section 114 of the Act, if a company commits an offence under this Act, then the whole company will be liable. Therefore, not only the principal infringer but, every person responsible for the company will be liable for indirect infringement, except for a person who acted in good faith and without knowledge of the infringement.

The elements for vicarious liability are: - When the person can control the activities of the principal infringer – When the person knows of the infringement and contributes to it – When the person may derive financial gains from the infringement The only exception to vicarious liability of a company for infringement is when the company has acted in good faith and had no idea about the infringement.

Contributory infringement: There are only three basic elements to contributory infringement: - When the person knows of the infringement – When the person materially contributes to the direct infringement – When the person induces the principal infringer to commit infringement. In the case of contributory infringement, there is no exception as there exists no chance of the contributory infringer to act in good faith.

Remedies for infringement of trademarks

In India, the infringement of a trademark is a cognisable offence which means that the infringer may also face criminal charges along with civil charges. It is also not required by the Indian law for the trademark to be registered for the institution of civil or criminal proceedings. As mentioned before this is due to the common law principle of passing off.

In the case of trademark infringement, the court may award the following remedies:

- Temporary injunction
- Permanent injunction
- Damages
- Account of profits (damages in the amount of the profits gained from the
- infringement)
- Destruction of goods using the infringing mark
- Cost of legal proceedings

In the case of a criminal proceeding, the court dictates the following punishment:

- Imprisonment for a period not less than six months that may extend to three years

- A fine that is not less than Rs 50,000 that may extend to Rs 2 lakh.

New developments in trademark law

New issues have arisen in trademark law that were entirely unanticipated just a decade ago.

The emergence of internet as a tool of electronic communication and commerce has resulted in complex intellectual property issues;

Important among them are

- ❖ The assignment of internet domain names and attendant disputes over such domains
- ❖ Companies that have invested significant amount of time and money in their marks have been surprised when they have attempted to use their marks as a part of their domain names.
- ❖ The issue of domain name assignment and dispute resolution is one that has caused great controversy and produced significant reforms, although acts of cybersquatting continue to increase.
- ❖ Courts have protected the rights of trademark owners against "cyber squatters" those whose registered domain names in bad faith. Eg: The purpose of selling them to their rightful owners rather than for some bonafide use or purpose.
- ❖ If a dispute arises between parties claiming rights to domain names, the aggrieved owner has a variety of avenues on which to pursue relief.
- ❖ Anti cybersquatting consumer protection Act: Money damages can be obtained from the court.
- ❖ Uniform domain name dispute resolution policy: A streamlined, inexpensive administrative procedure, a panel can cancel an abusive domain name or order it transferred to its rightful owner.
- ❖ Use of marks on the internet has also led to various first amendment issues, especially with regard to the practice of using another party's mark on one's website as a link to another site.
- ❖ Using another's trademark in a phishing scheme, designed to obtain personal information from web users is actionable.
- ❖ Finally, use of another's mark on a non-commercial website for the purposes of satire, parody or consumer commentary is likely permissible as long as there is no likelihood of confusion.

International trademark law

A foreign national may file an application for trademark registration with the USPTO on the basis of actual use of mark in commerce in US, a bonafide intent to use the mark in commerce in US or on the basis of a pending application/existing application in a foreign country.

If the application is filed with the USPTO within six months of its filing in the foreign country, it will retain its earlier foreign country, it will retain its earlier foreign filing date for purposes of determining priority rights in the mark.

Under the Madrid protocol foreign nationals may also file a request for extension of protection of their home issued application or registration to the US.

Justa s foreign nationals may seek protection for their marks in the US, US trade mark owners may seek protection for their marks in various foreign countries.

New system called ‘The community trademark system’ allows trademark owners in the US to file one single page trademark application and receive a single registration covering all 27 member nations of the European union, resulting in significant savings of time and money.

Similarly, Madrid protocol allows a trademark owner to seek registration in any of the more than 80 Madrid protocol member nations by filing a single application with a single set of fees in English.

Unit – III: Copy Rights

- Copyrights – Fundamental of copyright law
- Requirements of copyrightability
- Originality of the material
- Fixation of the material
- Authorship works, exclusion from copyright protection
- Rights
    - Rights of copyright owner
    - Right of reproduction of copyrighted work
    - Right to do derivative works
    - Right to distribute copies of copyrighted work
    - Right to perform work publicly
    - Right to display copyrighted work
- Copy right – Ownership issues: Joint works, Works made for hire, specially commissioned works
- Copyright registration – Notice of Copyright
- Copy right infringement
- Remedies for infringement in copyrights
- New developments in copyright law
- International copyright law

Introduction:

In ancient days creative persons like artists, musicians and writers made, composed or wrote their works for fame and recognition rather than to earn a living, thus, the question of copyright never arose. The importance of copyright was recognized only after the invention of printing press which enabled the reproduction of books in large quantity practicable.

Copyright –Definition:

Copyright is a right of use given by the law to the creator of literary, dramatic, musical, artistic work, software etc for a limited period of time

In India all the law related to copyright is regulated by the copyright Act 1957. Its latest amendment was brought in 2012

A copyright is an exclusionary right. It conveys to its owner the right to prevent others from copying, selling, performing, displaying, or making derivative versions of a work of authorship.

Exclusive copyright rights

The entire bundle of rights that a copyright owner is exclusively entitled to exercise under the copyright laws. These rights consist of:

- the right to reproduce (copy) the work
- the right to prepare derivative works

- the right to distribute copies of the work
- the right to perform the work, and
- the right to display the work.

COPYRIGHT ACT, 1957: Copyright Act refers to laws that regulate the use of the work of a creator, such as an artist or author.

This includes copying, distributing, altering and displaying creative, literary and other types of work. Unless otherwise stated in a contract, the author or creator of a work retains the copyright.

Copyright does not ordinarily protect titles by themselves or names, short word combinations, slogans, short phrases, methods, plots or factual information.

Need for Copyright:

- It gives you the exclusive right to reproduce or copy the work or change its form.
- Registration informs the world that you own the work
- If you succeed in an infringement suit, you are entitled to money damages.

Indian perspective on Copyright Protection:

The Copyright Act, 1957 provides copyright protection in India. It confers copyright protection in the following two forms:

a) Economic rights of the author
b) Moral Rights of the author
    i. Right of Paternity
    ii. Right of Integrity

TERM OF COPYRIGHT: It varies according to the nature of work - 60 years, in India.

- Literary, dramatic, musical or artistic work (other than a photograph), when published during the lifetime of the author, copyright subsists during the lifetime of the author, plus 60 years.
- In the case of photographs, cinematograph films and sounds recordings; the term is 60 years from the date of publication.
- When the first owner of copyright is the government or a public undertaking, the term of copyright is 60 years from the date of publication.

The Fundamentals of Copyright

Copyright is a right given by the law to creators of literary, dramatic, musical and artistic works and producers of cinematograph films and sound recordings. In fact, it is a bundle of rights including, inter alia, rights of reproduction, communication to the public, adaptation

and translation of the work. It means the sole right to produce or reproduce the work or any substantial part thereof in any material form whatsoever (Kartar Singh Giani v. Ladha Singh & Others AIR 1934 Lah 777). Section 14 of the Act defines the term Copyright as to mean the

exclusive right to do or authorise the doing of the following acts in respect of a work or any substantial part thereof, namely

In the case of literary, dramatic or musical work (except computer programme):

a. reproducing the work in any material form which includes storing of it in any medium by electronic means;
b. issuing copies of the work to the public which are not already in circulation;
c. performing the work in public or communicating it to the public;
d. making any cinematograph film or sound recording in respect of the work; making any translation or adaptation of the work. Further any of the above-mentioned acts in relation to work can be done in the case of translation or adaptation of the work.

In the case of a computer programme:

a. to do any of the acts specified in respect of a literary, dramatic or musical work; and
b. to sell or give on commercial rental or offer for sale or for commercial rental any copy of the computer programme. However, such commercial rental does not apply in respect of computer programmes where the programme itself is not the essential object of the rental.

In the case of an artistic work:

a. reproducing the work in any material form including depiction in three dimensions of a two-dimensional work or in two dimensions of a three-dimensional work;
b. communicating the work to the public;
c. issuing copies of work to the public which are not already in existence;
d. including work in any cinematograph film; making adaptation of the work, and to do any of the above acts in relation to an adaptation of the work.

In the case of cinematograph film and sound recording:

a. making a copy of the film including a photograph of any image or making any other sound recording embodying it;
b. selling or giving on hire or offer for sale or hire any copy of the film/sound recording even if such copy has been sold or given on hire on earlier occasions; and
c. communicating the film/sound recording to the public.

In the case of a sound recording:

a. To make any other sound recording embodying it •
b. To sell or give on hire, or offer for sale or hire, any copy of the sound recording
c. To communicate the sound recording to the public

Originality Of Material

There are three basic requirements for copyright ability:

- A work must be original
- A work must be fixed in a tangible form of expression; and
- A work must be a work of authorship

To be eligible for copyright protection, material must be original, meaning that it must have been independently created and must possess a modicum of creativity. The requirement of originality should not be confused with novelty, worthiness, or aesthetic appeal.

The requirement is rather that the material must be an independent product of the author and not merely some copy or minimal variation of an existing work. A work can be original even if it is strikingly similar or identical to that of another. The Copyright Act only requires originality, meaning independent creation by the author.

Originality does not signify novelty; a work may be original even though it closely resembles other works so long as the similarity is fortuitous, not the result of copying.

To illustrate, assume that two poets, each ignorant of the other, compose identical poems. Neither work is novel, yet both are original, and, hence, copyrightable. “Originality” thus does not mean “first”; it merely means “independently created” rather than copied from other works.

Fixation of Material:

The Copyright Act protects works of authorship that are “fixed in any tangible medium of expression.” A work is “fixed” when it is embodied in a copy or phonorecord and is sufficiently permanent or stable to permit it to be perceived, reproduced, or communicated for a period of more than transitory duration.

There are thus two categories of tangible expression in which works can be fixed: “copies” and “phonorecords.”

- A copy is a material object from which a work can be perceived, reproduced, or communicated, either directly by human perception or with the help of a machine.
- A phonorecord is a material object in which sounds are fixed and from which the sounds can be perceived, reproduced, or communicated either directly by human perception or with the help of a machine.

Works of Authorship: (17 U.S.C§102)

- The copyright act provides that copyright protection subsists [support oneself]in original works of authorship fixed in any tangible medium of expression, now known or Here after developed,from which they can be perceived,reproduced or otherwise communicated either directly or with the aid of a machine.
- 17 U.S.C. § 102. Section 102 then lists eight categories of protectable works. The list is preceded by the phrase that works of authorship “include” those categories,

demonstrating that the listed categories are not the only types of works that can be protected, but are illustrative only.

The eight enumerated categories are as follows:

1. Literary works,
2. Musical works (including accompanying words)
3. Dramatic works (including accompanying music)
4. Pantomimes and choreographic works
5. Pictorial, graphic, and sculptural works
6. Motion pictures and other audiovisual works
7. Sound recordings
8. Architectural works

Rights of Reproduction:

The most fundamental of the rights granted to copyright owners is the right to reproduce the work

- AviolationofthecopyrightactoccurswhetherornottheviolatorprofitsbythereproductionOnly the owner has the right to reproduce the work
- Secretly taping a concert, taking pictures at a performance, or recording all violate the owner's right to reproduce
- The suggestion of congress, in 1978 a group of authors, publishers and users established a not-for-profit entity called Copyright Clearance Center[CCC]
- CCC grants licenses to academic, government and corporate users to copy and distribute the works
- It collects royalty fees, which are distributed to the authors
- Companies that photocopy articles from journals and magazines often enter into licensing arrangements with the CCC so they can make copies.

Rights to prepare Derivative works:

- Section 106 of the copyright Act provides that the owner of a copyright has the exclusive right to prepare derivative works based upon the copyrighted work
- This right I often referred to as the right to adapt the original work
- Definition:
  "A derivative work is broadly defined as a work based upon one or more preexisting works, such as a translation, dramatization, fictionalized motion pictures version, abridgment condensation or any other from in which a work maybe recast, transformed, or adapted.
- A work consisting of editorial revisions, annotations, elaborations, or other modifications is also a derivative work

Rights of distribution and the first sale doctrine:

- Section 106 (3) of the copyright act provides that the owner of a copyright has the exclusive right to distribute copies or phonorecords of the work to the public by sale or other transfer of ownership
- A violation of the distribution right can arise solely from the act of distribution itself
- The distributor did not make an unlawful copy or the copy being distributed was unauthorized
- Thus, blockbuster videos to can be liable for violating an owner's right to distribute
- Once the author has parted with ownership of copyrighted material, the owner
- The new owner the right to lend the book or movie to a friend, resell the work at a garage sale, or even destroy it.
- The first sale doctrine does not apply to or limit the author's exclusive rights to prepare derivative works or rights of public performance and without permission of authorship the goods are not permitted to imported into the U.S.

Rights to perform the work publicly

- Section 106 [5] of the Copyright Act provided that in the case of all copyrighted works other than sound recording & works of architecture, the copyright owner has the exclusive right to display the work publicly.
- A display is "public" under these circumstances in which a performance is "public". New material represents original work of authorship namely if it occurs at a place open to the public (or) at a place where a substantial number of persons outside of the normal circle of a family

Copyright Ownership Issues [17U.S.C. §201(a)]:

- Copyright in a work protected under the copyright activists [provide with power and authority] in the author or authors of the work
- Issues about ownership arise when more than one person creates a work
- Unless copyright has been explicitly conveyed with those physical articles, the original authors generally retain all other rights associated with the works.

Joint Works [intent to create a unitary whole]

- A joint work is a work prepared by two or more authors with the intention that their contributions be merged into inseparable or interdependent parts of a unitary whole.
- One copyright exists in the created works
- Joint authors are those who "mastermind" or "super mind" the creative effort.

Ownership Rights in Joint Works

- If individual are authors of a joint work, each owns an equal undivided interest in the copyright as a tenant in common, [each has the right to use the work, prepare derivative works, display it without seeking the other coauthor's permission].
- If profits arise out of such use, an accounting must be made so, that each author shares in the benefits or proceeds.
- The death of a coauthor, his or her rights pass to heirs who then own the rights in common with the other coauthor.

Ownership of a physical object is separate and distinct from ownership of the copyright embodied in the material object

Ownership in Derivative or Collective Works

- The author of the original book has rights only to his or her work and cannot reproduce or perform the derivative work without permission.
- If a work such as a book is created by one person who intends it to be complete at the time and illustrations are later added to it by another, the work cannot be a joint work because there was no intention of the parties to create a unitary whole at the time of their creation.
- The author of the derivative work cannot create further works based on the original book without permission and cannot reproduce the original work without permission.
- Multipleownershiprightsmayalsoariseifseparatelycopyrightableworksarecompiled into a collection.

For Example: If essays written by Jerry Seinfeld, Ellen DeGeneres, and Paul Reiser are collected into a humour anthology by Bill Jones (with permission of the original authors), the original authors retain their exclusive rights (such as rights to reproduce, distribute, and perform) in their respective essays. No joint work is created because there was no intent at the time the separate essays were created to merge them into a unitary whole. No derivative work is created because the original works have not been transformed in any way and nothing new has been added to them. The anthology by the compiler, Bill Jones, is a collective work and pursuant to section 201(c) of the act, Jones acquires only the right to reproduce and distribute the contributions as part of the particular collective work or any revision of the collective work .

Works Made for Hire

- The general rule is that the person who creates a work is the author of that work and the owner of the copyright therein, there is an exception to that principle: the copyright law defines a category of works called works made for hire.
- If a work is "made for hire", the author is considered to be the employer or commissioningpartyandnottheemployeeortheactualpersonwhocreatedthework
- The employer or commissioning party may be a company or an individual.
- There are two types of works that are classified as works made for hire; works prepared by an employer within the scope of employment and certain categories of specially ordered or commissioned works.

Copyright Registration

- A work is "created" when it is fixed in a copy or phonorecord for the first time.
- Although not required to provide copyright protection for a work, registration of copyright with the Copyright Office in expensive, easy and provides several advantages, chiefly, that registration is a condition precedent for bringing an infringement suit for works of US origin.
- To register a work, the applicant must sent the following three elements to the Copyright Office: a properly completed application form, a filing fee, and a deposit of the work being registered.
- Registration may be made at any time within the life of the copyright

The Application for Copyright Registration

- The following persons are entitled to submit an application for registration of copyright:
- The author (either the person who actually created the work or, if the work is one made for hire, the employer or commissioning party)
- The copyright claimant (either the author or a person or organization that has obtained ownership of all of the rights under the copyright originally belonging to the author, such as a transferee)
- The owner of exclusive right, such as the transferee of any of the exclusive rights of copyright ownership (for example, one who prepares a movie based on an earlier book may file an application for the newly created derivative work, the movie); and
- The duly authorized agent of the author, claimant, or owner of exclusive rights (such as an attorney, trustee, or any one authorized to act on behalf of such parties)

Application Forms

- The Copyright Office provides forms for application for copyright registration.
- Each form is one 8½ by 11" (inches) sheet, printed front and back.
- An applicant may use photocopies of forms
- The Copyright Office receives more than 6,00,000 applications each year, each application must use a similar format to ease the burden of examination.
- The type of form used is dictated by the type of work that is the subject of copyright. For example: One form is used for literary works, while another is used for sound recording. Following are the forms used for copyright application.
- Form TX (Literary works, essays, poetry, textbooks, reference works, catalogues, advertising copy, compilations of information, and computer programs)
- Form PA (Pantomimes, choreographic works, operas, motion pictures and other audiovisual works, musical compositions and songs.
- Form VA (Puzzles, greeting cards, jewellery designs, maps, original prints, photographs, posters, sculptures, drawings, architectural plans and blueprints.
- Form SR (Sound recording)
- Form SE (periodicals, newspapers magazines, newsletter, annuals and Journals. Etc.)

Notice of copyright

- Since March 1, 1989 (the date of adherence by the United States to the Berne Convention), use of a notice of copyright (usually the symbol © together with the year of first publication and copyright owner's name) is no longer mandatory, although it is recommended and offers some advantages.
- Works published before January 1, 1978, are governed by the 1909 copyright Act.
- Under that act, if a work was published under the copyright owner's authority without a proper notice of copyright, all copyright protection for that work was permanently lost in the United States.
- With regard to works published between January 1, 1978, and March 1, 1989, omission of a notice was generally excused if the notice was omitted from a smaller number of

copies, registration was made within five years of publication, and a reasonable effort was made to add the notice after discovery of its omission.

Copyright infringement

Section 501 of the Copyright Act provides that anyone who violates any of the exclusive rights of a copyright owner (rights of reproduction, adaptation, distribution, performance, and display), or of the author (as provided in the Visual Artists Rights Act), or who imports copies or phonorecords comes under violation of copyright law, and is liable for direct infringement of the copyright or right of the author.

For example, the following may constitute infringement: playing copyrighted music in a large department store without permission; failing to provide attribution for a painting or other work covered by the Visual Artists Rights Act; and photocopying material from a copyrighted book.

(1) Ownership of Copyright

To prevail in an infringement action, a plaintiff must prove two things: his or her ownership of a valid copyright and copying or some other impermissible invasion by the defendant of one of the exclusive rights afforded to copyright owners.

Ownership is usually more easily established than copying. A party may prove ownership by demonstrating that he or she is the author of the work or that the copyright in the work has been transferred to him or her.

Ownership issues often arise in the context of work-made-for-hire disputes, particularly when a party claims he or she is not an employee and thus a work cannot be owned by an employer or when a party claim there was no written agreement relating to the status of a specially commissioned work and thus, he or she has retained copyright ownership.

If the copyright has been transferred to another, that party is now the owner of the transferred rights and has the right to protect the work by an infringement action.

(2) Copying

Copying may be proven by direct or indirect evidence. Direct evidence exists when the defendant admits copying or an eyewitness can testify that copying took place. Because it is usually very difficult to show direct evidence of copying, most cases rely on indirect or circumstantial evidence of copying, which requires proof of two elements: that the defendant had access to the copyrighted work and that there is substantial similarity between his or her work and that of the defendant.

Infringement does not require an intent to infringe; even innocent infringement gives rise to liability.

(3) Access.

Access is generally interpreted to mean that a party had a reasonable opportunity to perceive or review a work, either directly or indirectly. Access can be inferred if the copyrighted work has been widely disseminated.

Contributory infringement occurs when photo shops reproduce or duplicate photographs bearing a copyright notice, when copy shops reproduce or allow customers to photocopy books and other protected materials, when operators of flea markets or swap meets allow pirated works to be sold, or when an individual sells specially formatted blank cassettes and tape duplicating equipment to pirates with knowledge they are engaging in acts of infringement.

Vicarious infringement typically occurs when one party is responsible for infringement conducted by another when the two parties share a special relationship, such as that of employer-employee. One who is in a position to control the use of copyrighted works by others and has a financial interest in exploitation of the copyrighted works will be liable for vicarious infringement, even if he or she had no knowledge the infringement was occurring.

Section 107 of the Copyright Act provides that the fair use of a copyrighted work for purposes such as criticism, comment, news reporting, teaching, scholarship, or research is not an infringement. Fair use is thus a privilege to use copyrighted material without permission of the copyright owner.

Remedies for infringement in copyrights

Petitioners in infringement actions may seek both monetary and nonmonetary relief. In some instances, the accuser may be more interested in ensuring the infringing activity ceases than in recovering damages. Courts can use a variety of remedies to ensure the copyright owner is adequately protected.

Courts can order the impoundment of infringing copies during the pendency of an infringement action and may order their destruction as part of a final judgment. The plaintiff usually must post a bond so that if no infringement is found, the defendant is recompensed for the pretrial seizure of the goods.

Plaintiffs may recover **compensatory damages** the actual damages suffered as a result of the Infringement and any additional profits received by the defendant arising out of the infringing activities. Actual damages should compensate the plaintiff for lost sales and revenues.

If registration has been secured within three months after publication of a work (or, for unpublished works, before the defendant's infringement), a court may award reasonable attorneys' fees to the prevailing party. Parties may also recover costs (e.g., expert witness fees, court filing fees, photocopy charges).

New developments in copyright law

Developments in technology create new industries and opportunities for reproduction and dissemination of works of authorship. Numerous new issues have arisen relating to the growth of electronic publishing, distribution, and viewing of copyrighted works.

Along with new and expanded markets for works comes the ever-increasing challenge of protecting works from piracy or infringement

Although it is clear that computer programs and automated databases are copyrightable literary works, issues relating to copying computer programs continue to present challenges to the courts. The literal portions of computer programs (source code and object code) are protectable, but the nonliteral portions are often viewed as unprotectable useful articles, scenes a faire, or merged ideas and expressions. Reverse engineering of computer programs to create compatible programs may be acceptable, but creating identical or substantially similar programs may be infringement.

Although some advocate that there should be no restrictions on information on the Internet, others are furiously working to develop encryption and metering devices that can track and monitor electronic use of works and charge for that use.

The protection and infringement of songs and movies is of critical interest to their authors and industries.

The U.S. Copyright Office has clarified its stance on AI-assisted creations. Works that exhibit sufficient human creativity, even if assisted by AI, are eligible for copyright protection. This means that if a human artist's contribution is evident in the final piece—such as by adapting AI-generated output or through creative arrangements—the work can be protected. Conversely, content entirely generated by AI without meaningful human intervention does not qualify for copyright protection.

Internationally, there's a growing concern about AI's impact on creative industries. Prominent artists, including Sir Elton John and Sir Paul McCartney, have advocated for stricter regulations to prevent the unlicensed use of creative works in AI training. They emphasize the need for transparency, control, and fair compensation for creators. The UK government is considering measures to enforce greater transparency on tech companies regarding the data used to train AI models, aiming to balance the interests of both the tech and creative sectors.

These developments underscore the ongoing efforts to adapt copyright laws to the challenges posed by rapidly advancing AI technologies, ensuring that the rights of creators are protected while fostering innovation.

International Copyright Law

- Developments in technology create new industries and opportunities for reproduction and dissemination of works of authorship.
- A number of new issues have arisen relating to the growth of electronic publishing, distribution, and viewing of copyrighted works.
- Along with new and expanded markets for works comes the ever-increasing challenge of protecting works form piracy or infringement.
- Copyright protection for computer programs
- Copyright protection for Automated Databases
- Copyright in the Electronic Age
- The Digital Millennium Copyright Act

Unit – IV: Patents

A patent is a government granted right for a fixed time period to exclude others from making, selling, using, and importing an invention, product, process or design, or improvements on such items. These exclusive, monopoly rights are powerful, and in return the inventor is required to describe the invention in writing. The end result is simply a written description, accompanied by diagrams and drawings, that explains the invention. The public benefits because anyone can read the details of the invention and improve upon it. Importantly, the patent not only allows the public to gain an understanding of the invention, but also defines its limits. Once the patent term expires (generally 20 years from the application filing date), the technology covered by the patent becomes a part of the public domain and is essentially free to use by the public.

Classification of Patents

Generally, there are three main types of patents: utility patents, design patents and plant patents.

1) **Utility Patent** – When most people think of patents, they are referring mainly to utility patents. A utility patent is a patent that covers inventions, whether it's an innovative software process, a new product that is distinct from prior art, or an improvement to a car engine. A utility patent can be granted for any new, useful, and non-obvious process or product.
2) **Design Patent** – A design patent covers a new and original ornamental design of a product. In other words, a design patent protects the look of a product. Examples of products protected by design patents include jewellery and watches, electronic devices, computer icons, and beverage containers. A design patent consists of numerous drawings that show a product from various angles and contains very little written description, if any.
3) **Plant Patents** - Plant patents were first created by the Patent Act of 1930, which had been proposed by Luther Burbank to protect new species of asexually reproduced plants, mostly flowers. These are different than the utility patents granted to bioengineered plants used in agriculture. The United States was the first country in the world to grant plant patents, and even today many countries continue to deny protection for plants. Indeed, even some signatories to the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) administered by the World Trade Organization (WTO) reserve the right to deny patents for plants. To be patentable, plants must be cultivated rather than found in the wild, and plant patents are granted only to protect a new, distinct, and non-obvious variety of asexually reproduced plant—i.e., those grown not with seeds but by grafting, budding, or cutting. A plant need not be useful to qualify for a patent, but it must be distinctive in its colour, habit, soil, flavour, productivity, form, or other aspects.

Patent Search

Patent search is a search of the patent database to determine if there are any patent application similar or identical to an invention that is to be patented. Patent search can be done to improve

the chances of obtaining a patent registration or to find information about new inventions that have patent protection.

Before filing a patent application, a patent search can help with different objectives like:

- ❖ Determining the probability of having a patent granted to a proposed invention.
- ❖ Determining the claims to be filed in the patent application.
- ❖ Determining the freedom to operate.
- ❖ Determining whether a granted patent can be invalidated.
- ❖ Knowing more about similar inventions and status of similar patent filings.

The Seven Steps in a Preliminary Search of U.S. Patents and Published Patent Applications

1. Brainstorm terms to describe your invention based on its purpose, composition and use.

2. Use these terms to find initial relevant Cooperative Patent Classifications using the USPTO website's Classification Text Search Tool (https://www.uspto.gov/web/patents/classification/) Enter the keyword or keywords you wish to search in the Search Tool box. For example, if you were trying to find CPC Classifications for patents related to umbrellas, you would enter "umbrella". The default search system is CPC, Cooperative Patent Classification, so the button "All CPC" is selected. Click on the "Search" button. Scan the resulting classification's Class Schemes (class schedules) to determine the most relevant classification to your invention. If you get zero results in your Classification Text search, consider substituting the word(s) you are using to describe your invention with synonyms, such as the alternative terms you came up with in Step 1.

3. Verify the relevancy of CPC classification you found by reviewing the CPC Classification Definition linked to it (if there is one).

4. Retrieve U.S. patent documents with the CPC classification you selected in the PatFT (Patents Full-Text and Image) database (http://patft.uspto.gov). Review and narrow down the most relevant patent publications by initially focusing on the front-page information of abstract and representative drawings.

5. Using this selected set of most relevant patent publications, review each one in-depth for similarity to your own invention, paying close attention to the additional drawing's pages, the specification and especially the claims. References cited by the applicant and/or patent examiner may lead you to additional relevant patents.

6. Retrieve U.S. published patent applications with the CPC classification you selected in Step 3 in the AppFT (Applications Full-Text and Image) database (http://appft.uspto.gov). Use the same search approach used in Step 4 of first narrowing down your results to the most relevant patent applications by studying the abstract and representative drawings of each on its front page. Then examine the selected published patent applications closely, paying close attention to the additional drawings pages, the specifications and especially the claims.

7. Broaden your search to find additional U.S. patent publications using keyword searching in PatFT or AppFT databases, classification searching of non-U.S. patents on the European

Patent Office's Worldwide Espacenet patent database (http://worldwide.espacenet.com) and searching non-patent literature disclosures of inventions using the free electronic and print resources of your nearest Patent and Trademark Resource Center (http://www.uspto.gov/ptrc).

Patent search in India

There is no cost for doing a patent search in India. A patent search can be done through the Patent database of India available at: http://ipindiaservices.gov.in/publicsearch. Depending on the status of a patent application, a patent search can be done under two publication types: published or granted. The user can choose the desired publication type by clicking on the checkbox. The user can view many categories like

- ❖ Application Date
- ❖ Title
- ❖ Abstract
- ❖ Complete Specification
- ❖ Application Number
- ❖ Patent Number
- ❖ Applicant Name
- ❖ Inventor Name
- ❖ Inventor Country
- ❖ Inventor Address
- ❖ Filing office
- ❖ PCT Application Number
- ❖ PCT Publication number

The entire category has a drop down box from which the user has access to change the category. There is a search box next to every category where the user can enter the keyword of the patent that he wants to view. By entering a query in more than one box, the applicant can run very precise patent searches. Once the required keywords are entered in the respective boxes, there is a captcha code the user has to clear.

Patent Information

Once the code is entered, there are a number of relevant patent results for the patent search query that the user has entered. On selecting an application, the document opens with the Application Number, Title, Application Date and Status. The user can get further details about the patent by clicking on the Application Number, Title, Application Date and Status.

Through patent search, the applicant can find the following information about the patent:

- ✓ Invention title
- ✓ Publication Number
- ✓ Publication Date
- ✓ Publication Type
- ✓ Application Number
- ✓ Application Filing Date

- ✓ Priority Number
- ✓ Priority Country
- ✓ Priority Date
- ✓ Field of Invention

Classification

Inventor Name, Address, Country, Nationality, Applicant Name, Address, Country, Nationality.

When each column is selected, the patent application's details about that section can be known by the user. When a user selects application number details like Invention Title, Publication number, date, type, etc. There are separate columns that give the user the inventor's and the applicant's Name, Address, Country, and Nationality.

Patent Ownership:

Patents are items of personal property and thus may be owned, sold, licensed, or devised by will. Until September 16, 2012, applications for patents must be filed by the actual inventor of the article, process, design, or plant. After that date, under the America Invents Act (AIA), applications may be filed by the assignee of the invention (or one to whom the inventor has an obligation to assign), making it easier for the true owner of an invention, often an employer, to file the application. If there is more than one inventor, the application must be signed by all inventors (or assignees, after September 16, 2012).

Sole Inventors

An invention may be the product of one person or more than one person. If one person conceives of the invention, he or she is the sole inventor. A directive given by an employer to an employee to solve a problem or invent an article does not make the employer an inventor. It is finding a solution to a problem rather than articulating it that determines whether one is an inventor. Similarly, giving suggestions, making minor contributions, or helping to build a model or embodiment of the invention do not make a person an inventor.

Joint Inventors

When more than one person contributes to an invention, they are joint inventors. Persons may be joint inventors even though they do not physically work together or at the same time, do not make the same type or amount of contribution to the invention, or do not make a contribution to the subject matter of every claim of a patent. 35 U.S.C. § 116. Each, however, must have made some contribution of inventive thought to the resulting product, and there must be some amount of collaboration or connection between them. Thus, individuals who are completely ignorant of what each other has done cannot be considered joint inventors.

Transfer and Assignment of patent rights:

Because patents have the attributes of personal property, they may be transferred or assigned, just as may other items of personal property, and may be bequeathed by will. Patents or applications for patents may be assigned to another; a written instrument is required. The written instrument should identify the patent by application or issue number, date, and title of the invention. An assignment is a transfer of a party's entire ownership interest or a percentage of that party's ownership interest. A few states have prescribed certain formalities to be observed in connection with the sale of patent rights.

In the absence of agreement to the contrary, each of the joint owners of a patent may make, use, license, offer to sell, or sell the patented invention without the consent of and without accounting to the other owners. Thus, similar to copyright law, each owner has the right to assign or license the patent to a third party without agreement of the other co-owners. Unlike copyright law, however, which requires accounting of profits, patent law does not require a joint owner to account to the others for monies received from such sale. Thus, it is critical that joint inventors be subject to a written agreement detailing their rights to use, make, sell, and license the invention to others.

Licensing Of Patent Rights

A license differs from an assignment in that it is not an outright grant or transfer of ownership. The licensing of a patent transfers a bundle of rights, which is less than the entire ownership interest. A license is merely a permission to use. The permission or license may be limited in its scope, duration, terms, or territory. A patent license is, in effect, a contractual agreement that the patent owner will not sue the licensee for patent infringement if the licensee makes, uses, offers for sale, sells, or imports the claimed invention, as long as the licensee fulfills its obligations and operates according to the terms of the license agreement. Licenses may be exclusive (meaning that only one party has the ability to exploit the invention) or may be nonexclusive (meaning that more than one party may be given rights in the invention or patent). Similarly, licenses may be for the term of the patent (20 years from the date of filing) or may be for a limited time period.

Licenses may be granted to one party to make the invention and to another party to sell the invention. They may be restricted to specific geographical areas, so that one party has rights for one region of the city to another.

Licenses are not usually recorded with the USPTO because they are viewed as private contractual relationships between parties that do not affect the ultimate ownership of the patent.

The patent owner may charge a one-time lump-sum payment for the license or may receive royalties or periodic payments during the term of the license. Typically, royalty payments are based upon sales of the invention.

Patent Infringement

Direct Infringement

A patent issued by the USPTO does not grant a party any right to make, use, offer to sell, sell, or import an invention but rather *excludes* others from engaging in such acts. Under the Patent Act, any person who, without authority, makes, uses, offers to sell, or sells any patented invention within the United States or imports into the United States any patented invention during the term of its patent, infringes the patent.

A patent is effective and enforceable only after it is issued. Thus, making, using, selling, or importing devices prior to the time of a patent's issuance do not constitute acts of infringement.

Liability for patent infringement may arise from one's acts in making, using, or selling the patented invention, referred to as direct infringement, or from encouraging or inducing another to infringe, often referred to as indirect infringement. One critical distinction between the two is that liability can be imposed for direct infringement without regard to the infringer's intent; however, liability for indirect infringement requires that the defendant know that infringement will occur because of his or her conduct. Thus, one can be liable for direct infringement even if one does not know of the existence of the patent infringed.

Indirect Infringement

A person may be liable for patent infringement even if he or she never makes, uses, or sells the patented invention; liability may rest upon acts of encouraging others to infringe. Such acts are often referred to as indirect infringement. Indirect infringement is covered by two separate subdivisions of the Patent Act:

• whoever actively induces infringement of a patent shall be liable as an infringer.

• whoever offers to sell or sells a nonstable component of a patented invention, knowing it to be especially made or adapted for use in infringement of a patent, shall be liable for contributory patent infringement.

Remedies For Infringement

A plaintiff who is successful in a suit for patent infringement may obtain injunctive relief, monetary damages, interest, costs of litigation, and, possibly, triple damages and attorneys' fees.

Injunctive relief.

In many instances, a patentee is as interested in ensuring that infringing activities cease as in recovering damages. A court may grant a preliminary injunction pending the final judgment in the case upon a showing that the patentee is reasonably likely to prevail in the action, that irreparable harm would result to the patentee unless an injunction were granted and that monetary damages would be inadequate to compensate for that injury, that the balance of hardships tips in favour of the patentee, and that the public interest would not be disserved by

an injunction. For years, once courts determined that patent infringement had occurred, injunctions were ordered nearly automatically.

Compensatory damages.

The Patent Act provides that upon finding infringement, a court shall award a claimant damages adequate to compensate for infringement, but in no event less than a reasonable royalty for the use made of the invention by the infringer, together with an award of interest and costs.

If a patentee can prove actual damages, such as lost profits, those damages will be awarded. Lost profits will be awarded if the plaintiff can prove that but for the infringement, it would have made the sales that were made by the infringer. If such damages are highly speculative or cannot be proven because the infringer has only made rather than sold the invention, courts will then use the reasonable royalty rate as the measure of damages.

Punitive damages and advice of counsel.

Courts are authorized to increase compensatory damages up to three times the amount assessed. An award of such **punitive damages** (those meant to punish the defendant rather than compensate the plaintiff) is made only upon a showing of willful infringement or bad faith by the defendant. Proof of willful infringement that would permit enhanced damages requires at least a showing of objective recklessness. Accordingly, a patentee must show by clear and convincing evidence that the defendant acted to infringe despite an objectively high likelihood that its actions constituted infringement. The infringer's state of mind is irrelevant. The patentee must then establish that the facts that would satisfy the standard of recklessness were known or should have been known to the alleged infringer.

Attorneys' fees.

A court may award reasonable attorneys' fees to the prevailing party "in exceptional cases." If the patentee is the prevailing party, attorneys' fees might be awarded when the infringer's conduct is wilful or in bad faith. If the accused infringer is the prevailing party, he or she may be able to recover attorneys' fees if the patentee instituted or continued the litigation in bad faith or was guilty of inequitable conduct, either in procuring the patent or in the course of litigation. Attorneys' fees awarded in some cases have reached $1 million.

New developments in Patent law:

The Patent Act has proven remarkably flexible in accommodating changes and developments in technology. Thus, advancements in technology generally have not necessitated significant changes in the statutes governing patent protection. This situation is somewhat different from that encountered in trademark law with the conflict over domain names creating much turmoil, and in copyright law with the ramifications of publication on the Internet creating similar turmoil.

Business Method and Software Patents

Many of the cutting-edge issues in patent law relate to patents for computer software. For several years, the conventional wisdom was that unless a computer program had significant commercial value and application, patent protection was often counterproductive or ineffective in that the USPTO often took more than two years to issue a patent, roughly the same time it took for the software program to become obsolete. Thus, protection of the program under copyright law was viewed as the most effective means of protection for software.

In 1996, guidelines for computer related inventions (often called "software patents") were adopted by the USPTO to aid examiners in determining the patentability of software. Under the guidelines (available at the USPTO website at http://www.uspto.gov), the following are patentable: a machine that is directed by a computer program, a computer readable memory, and a computer-implemented process.

Algorithms that manipulate only abstract ideas remain unpatentable. In brief, patent applications for computer-related inventions must be carefully drafted by attorneys knowledgeable in the art, the developing case law, and the new USPTO guidelines.

Defensive patenting

When patents are issued without adequate review of prior art, too many patents are issued, causing technology owners to stumble over each other's intellectual property and producing an avalanche of litigation.

In addition to the drain on resources and time caused by high-stakes patent litigation, numerous companies expend additional sums to patent inventions of questionable use solely for defensive purposes. Defensive patenting, the practice of obtaining patents not because of a desire to exploit the invention but solely to thwart efforts by others who might claim rights in similar methods and processes, has become increasingly common. Some experts refer to this as the patent practitioners' equivalent of mutually assured destruction.

Patent Trolls

Patent owners have long used their patents to produce revenue streams by licensing the right to use patented inventions or technology to others. The licensee might pay a flat fee to use the patented technology or might pay a royalty based on the amount of sales of the patented invention or process.

In a twist on patent licensing, numerous companies now secure patents for inventions they have no intention of using or commercializing, solely for the purpose of initiating litigation against claimed infringers. Known as **patent trolls** or non-practicing entities, these companies acquire patents (often from bankrupt companies) and then begin looking or "trolling" for potential infringers. When the patent troll is unable to secure a quick settlement or licensing agreement, it initiates patent litigation, often threatening to obtain an injunction and shut down the other company's business.

Biotechnology Patents

Medicine, science, agriculture, and pharmacology present other cutting-edge issues in patent law. Research into genes may hold the key to curing disease throughout the world. Agricultural research may hold the key to providing sufficient food for the world's ever-increasing population. The USPTO continues to see increases in patents in these fields.

In one interesting case, the USPTO issued a patent on Basmati rice lines and grains. The government of India requested re-examination of the patent and submitted 50,000 pages of information to the USPTO arguing that the patent should not have been issued because it was not novel. India was concerned that the patent would damage exports from its own farmers to the United States, a type of "biopiracy" that would carry off the genetic material and biological resources of India. Most of the claims in the patent were declared invalid.

International patent law

In regard to international patent law, because patents granted in the United States have no effect outside U.S. territorial borders, inventors desiring patent protection in foreign countries must comply with the laws of the countries in which they desire patent protection. Alternatively, however, they may rely on three treaties to which the United States adheres.

Under the Paris Convention, a U.S. inventor who files a patent application in any of the more than 170 Paris member nations has 12 months to file applications in any of the other member nations and yet claim the priority date of the first filing.

Under the Patent Cooperation Treaty (PCT), an inventor may file one "international" application, thereby receiving the benefit of one centralized filing, searching, and examination process and receiving protection in any PCT member nation, as long as the application is ultimately prosecuted in those nations. Prosecution in the other countries may be delayed for up to 30 months, affording the inventor significant time to gather funds, consider the commercial application of the invention, and evaluate market conditions. Applicants may also rely on the European Patent Convention to obtain patent protection in any or all of the 38 contracting nations.

Finally, under the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS), member nations must afford patent protection to citizens of member nations on the same basis they do for their own citizens. Foreign investors may apply for patents in the United States as long as they comply with the provisions of the Patent Act.

Unit -V: Trade secrets and Law of Unfair Competition

- Trade Secrets: Trade Secret law
- Determination of trade secret status
- Measures for protecting trade secret status
- Liability for misappropriation of trade secrets
- Protection for submissions
- Trade secret litigation
- New developments in trade secrets law
- International trade secret law
- Law of unfair competition
    - passing off
    - Misappropriation
    - Right of publicity
    - Dilution of trade marks
    - Product disparagement
    - False advertising
    - Internet Piracy

Trade Secrets:

A trade secret is confidential business information that provides a company with a competitive advantage. This can include recipes, formulas, processes, customer lists, marketing strategies, and even negative information—such as knowledge about what does not work. To qualify as a trade secret, the information must be valuable, not publicly known, and actively protected by the company.

Companies take extensive measures to safeguard trade secrets because unauthorized disclosure can lead to significant economic losses and increased competition. For example, Coca-Cola's secret formula and KFC's recipe of 11 herbs and spices are closely guarded, with only a few individuals having access under strict nondisclosure agreements.

With advancements in technology and the increasing mobility of employees, the risk of trade secret theft has grown. Companies invest in security measures to prevent breaches, as losses can be substantial. A 2009 McAfee report found that, on average, companies lost $4.6 million in intellectual property due to security breaches.

Trade secret laws exist to encourage businesses to invest in research and development by ensuring that their confidential information remains protected. These laws not only reward innovation but also deter unethical practices, creating a fair and competitive business environment.

Trade Secret law

Unlike trademarks, copyrights, and patents, trade secrets are not governed by a federal statutory system, nor do they require registration for protection. Instead, trade secret law primarily arises

from common law principles, meaning it has been shaped by court rulings over time. The first U.S. trade secret case, Vickery v. Welch (1837), dealt with chocolate manufacturing methods.

In 1939, the Restatement of Torts provided an early definition of trade secrets, which many states used as a basis for their laws. Later, the Restatement (Third) of Unfair Competition offered a more refined and widely accepted legal framework. In 1979, the Uniform Trade Secrets Act (UTSA) was introduced to create consistency across states, with an amendment in 1985. Over 45 states have adopted the UTSA, though with some modifications. The UTSA defines a trade secret as any valuable, confidential information (such as a formula, method, or process) that derives economic benefit from secrecy and is actively protected by its owner.

Additionally, certain federal laws, like the Economic Espionage Act, provide further protection. However, contracts play a crucial role in safeguarding trade secrets. Businesses commonly require employees and partners to sign nondisclosure agreements (NDAs) or confidentiality agreements, which legally prevent them from sharing or misusing proprietary information. These agreements are enforced through standard contract law and serve as an essential layer of protection for businesses.

Determination of trade secret status

Courts assess multiple factors to determine whether information qualifies as a trade secret, balancing these considerations rather than relying on any single criterion.

Extent of Public Knowledge – If information is widely known outside the company, it is less likely to be a trade secret. Some limited disclosures (e.g., to licensees under confidentiality agreements) do not necessarily destroy protection, but public availability—such as publication on the internet—will.

Internal Awareness – If confidential information is broadly known within the company, especially by those who do not need it for their work, it may lose trade secret status. Companies should limit access to employees with a legitimate "need to know."

Protective Measures Taken – Courts expect companies to take reasonable precautions (e.g., nondisclosure agreements, locked storage, restricted access, confidentiality markings) to safeguard trade secrets. Increasingly, courts also consider advanced security measures for digital data, such as encryption and access controls.

Value to the Company and Competitors – Information that provides significant competitive value (e.g., proprietary formulas or donor lists for nonprofits) is more likely to be protected than information with minimal economic impact.

Time, Effort, and Money Invested – If a company has spent substantial resources developing the information, courts are more likely to recognize it as a trade secret.

Ease of Acquisition or Duplication – Information that is easily obtained, observed, or reverse-engineered is less likely to qualify as a trade secret. However, if replication requires significant time, effort, and expense, it may still receive protection.

Not all information qualifies. In Buffets, Inc. v. Klinke (1996), a restaurant's recipes for common dishes (e.g., BBQ chicken, mac and cheese) were deemed too basic and obvious to be trade secrets since they could be easily recreated.

Measures for protecting trade secret status

Confidentiality Agreements: Use NDAs with employees, contractors, and business partners to legally bind them to secrecy.
Access Control: Limit access to sensitive information to only those who need it (principle of least privilege).
Employee Training: Educate staff regularly on handling confidential data and the importance of trade secret protection.
Physical Security: Secure premises with locks, surveillance, ID badges, and visitor monitoring to prevent unauthorized access.
Digital Security: Implement firewalls, encryption, password protection, and user authentication to safeguard digital trade secrets.
Labeling: Clearly mark trade secret documents as "Confidential" or "Proprietary" to signal their protected status.
Exit Procedures: Conduct exit interviews and remind departing employees of continuing confidentiality obligations.
Trade Secret Policy: Maintain a formal, documented internal policy outlining the handling and classification of trade secrets.
Legal Enforcement: Be prepared to take legal action against misappropriation under laws like the Defend Trade Secrets Act (U.S.).

Liability for misappropriation of trade secrets

Misappropriation of a trade secret occurs when someone acquires, uses, or discloses a trade secret belonging to another without consent and under circumstances where they knew or should have known that the information was confidential. The law protects trade secrets from unauthorized use or improper acquisition to ensure fair business competition and safeguard valuable business assets.

Misappropriation occurs when a person acquires, discloses, or uses a trade secret owned by another entity without proper authorization. This can happen under various circumstances, including:

Improper Means of Acquisition:

If a trade secret is obtained through bribery, theft, fraud, espionage (electronic or physical), or breach of a confidentiality agreement, it is considered misappropriation.

Example: If an employee steals confidential design blueprints from their company and gives them to a competitor, this would be an act of misappropriation.

Knowledge of Improper Acquisition:

If a person knew or should have known that a trade secret was acquired improperly but still used it, they are liable for misappropriation.

Example: A company hires an engineer who brings confidential data from their previous employer. If the new employer is aware that this data is proprietary but still uses it, they are complicit in misappropriation.

Breach of Duty to Maintain Secrecy:

If a person has a legal or ethical duty to keep information confidential (such as an employee or business partner) but discloses or uses the trade secret without consent, it is misappropriation.

Example: A consultant hired by a company to improve manufacturing processes signs a confidentiality agreement but later sells the trade secret to a competitor.

Legitimate Ways to Obtain Trade Secrets (Non-Misappropriation Methods)

Not all instances of using a trade secret constitute misappropriation. Some methods of acquiring trade secrets are considered lawful, including:

Independent Discovery:

If a company or individual develops a trade secret independently, without copying or using another's proprietary information, there is no misappropriation.

Example: If two researchers separately invent a new battery technology without interacting, neither has misappropriated the other's work.

Reverse Engineering:

If a product is lawfully obtained, and its inner workings are discovered through analysis, this is legal.

Example: A competitor legally buys a smartphone and studies its components to develop a similar but original design.

Public Observation:

If a trade secret can be discovered simply by observing a publicly accessible product, process, or service, it is not considered a misappropriation.

Example: A restaurant publicly cooks a unique dish in front of customers, and a competitor takes notes on the process. Since the process was publicly visible, it is not protected as a trade secret.

Published Information:

If a trade secret has been published or otherwise made public, even unintentionally, it loses protection under trade secret laws.

Example: If a company accidentally posts proprietary formulas on its website and they become publicly available, competitors can legally use the information.

Protection for Submissions: Safeguarding Ideas and Trade Secrets

Individuals and companies frequently submit ideas, inventions, or trade secrets to private companies or government agencies with the hope of securing compensation or contracts. However, without proper legal protection, there is a risk that the submitting party may lose their rights to the idea.

1. Submissions to Private Parties

The Risk of Unprotected Submissions

Many individuals seek to share ideas with businesses in the hope that the company will develop, market, and compensate them. However, without a written agreement, companies are generally under no obligation to pay for or protect the submitted idea.

For example, suppose Sanders invents a new board game but lacks the resources to produce and distribute it. Sanders writes to Hasbro, a well-known game company, presenting his idea. There are three possible scenarios:

Hasbro ignores the submission. Sanders has no recourse since no agreement was made.

Hasbro reviews the idea but rejects it. Again, without an agreement, Sanders cannot claim ownership over the rejected idea.

Hasbro develops and markets a game similar to Sanders' idea. Sanders may have legal options, but only if he can prove that:

Hasbro used his exact idea.

His idea was not already known or easily conceived by others.

Hasbro had an implied or explicit obligation to compensate him.

How to Protect a Submission to a Private Company

To avoid disputes and ensure proper compensation, inventors and creators should take the following steps:

Use a Written Agreement

Submit ideas only under a signed Non-Disclosure Agreement (NDA) or a submission contract that outlines confidentiality and compensation terms.

Some companies have submission policies that explicitly state whether they will accept unsolicited ideas and under what conditions.

Mark the Submission as Confidential

Clearly label all materials as "Confidential and Proprietary."

Keep records of all communications and document when, how, and to whom the idea was submitted.

Ensure the Idea is Well-Defined and Novel

Courts generally do not protect vague or generic ideas. The submission should be sufficiently developed so that it is unique and not easily conceived by others.

If an idea is too broad (e.g., "a board game about space travel"), it may not be legally protected. A detailed, specific concept is more likely to receive legal protection.

Implied Contracts and Industry Standards

Even if no written agreement exists, courts may find that an implied contract was created if:

The company routinely compensates individuals for similar submissions.

The circumstances suggest that both parties understood that compensation was expected.

However, relying on an implied contract is risky—having a written agreement is the only sure way to protect an idea.

2. Submissions to Government Agencies

Disclosure Risks Under Freedom of Information Laws

When private companies submit bids, proposals, or confidential trade secrets to government agencies for contracts, they often face the risk of public disclosure under Freedom of Information Acts (FOIA) at both the state and federal levels.

For example, a technology company submits a bid for a government contract and includes proprietary software details. If a competitor later requests the bid under FOIA, the government might release sensitive information, giving the competitor an unfair advantage.

Protecting Confidential Information in Government Submissions

To safeguard proprietary information from public disclosure, companies should take these precautions:

Designate Trade Secret Information Clearly

Most FOIA laws contain exceptions for trade secrets, allowing companies to prevent the disclosure of sensitive information.

Any proprietary information should be explicitly labeled as a "Trade Secret—Confidential."

Request Redaction Before Submission

Companies should negotiate with the agency to ensure confidential information will be redacted before public release.

Legal Action Against Unauthorized Disclosure

If a government agency wrongfully releases protected trade secrets, the affected company may have a legal claim for:

Unconstitutional taking of private property, entitling them to compensation.

Breach of confidentiality, if the agency had given assurances of protection

Trade secret litigation

1. Legal Actions for Trade Secret Violations

Breach of Contract: If a trade secret is disclosed in violation of a confidentiality agreement, the affected party can sue for breach of contract.

Misappropriation Claims: Even without a written agreement, trade secret owners can sue under state trade secret laws or case law.

Federal vs. State Court:

Cases must be in federal court if they involve patents or copyrights.

If damages exceed $75,000 and parties are from different states, federal jurisdiction applies.

Otherwise, cases are handled in state courts under Uniform Trade Secrets Act (UTSA) provisions.

2. Protecting Against Trade Secret Lawsuits

Employers should require new hires to confirm in writing that their employment doesn't violate previous confidentiality obligations.

Employees should declare their work will be original and not infringe on third-party rights.

3. Litigation Process

Pleadings: Complaint → Answer → Possible Counterclaims

Discovery: Depositions, interrogatories, and document requests to gather evidence.

Trial:

Plaintiff must prove misappropriation by a preponderance of the evidence.

A jury trial may be requested; otherwise, a judge decides the case.

Appeals: Either party can appeal the verdict.

4. Challenges in Trade Secret Litigation

Trade secret owners may need to disclose the very information they want to protect.

Courts use protective orders, private hearings, and sealed records to limit public exposure.

5. High-Stakes Cases & Damages

Trade secret disputes can result in multi-million-dollar judgments.

Example: MGA vs. Mattel (2011) – MGA won $85 million in damages + $85 million in exemplary damages for Mattel's theft of Bratz doll trade secrets.

New Developments in Trade secret Law

Recent developments in trade secrets law have been influenced by the increasing ease of electronic communication, which has made unauthorized access and distribution of proprietary information more common. In response:

Companies now use electronic safeguards such as:

Password protection

Encryption and coding

Restricted digital access

Courts consider these digital protections alongside traditional methods like:

Locked cabinets

Physical access restrictions

Marking documents as confidential

A significant legal development was the enactment of the Economic Espionage Act of 1996, which:

Criminalizes trade secret theft for both commercial and foreign benefit

Allows the U.S. Attorney General to seek civil injunctions

Imposes penalties of:

Up to $10 million for foreign-related espionage

Up to $5 million for other cases

Imprisonment for individuals involved

This shift reflects growing concerns about economic espionage and the increasing value of intellectual property over physical goods.

For example:

McAfee reported $559 million in IP losses in 2008

The FBI estimates up to $200 billion lost annually due to trade secret theft

Additionally, federal statutes like the National Stolen Property Act and mail and wire fraud laws, as well as state-level laws, are commonly used to prosecute trade secret misappropriation.

International Trade Secret law

Trade secrets, once disclosed, are typically lost unless properly protected. Hence, companies engaging in international business must ensure trade secret laws exist and are enforced in

foreign jurisdictions. Most countries criminalize trade secret theft, and international agreements support this protection.

- **NAFTA (1991)** mandates member countries (U.S., Canada, Mexico) to prevent unauthorized disclosure of trade secrets. Mexico revised its laws to allow civil enforcement.
- **WTO/TRIPS Agreement (1994)** requires all member countries to provide effective remedies for trade secret misappropriation. This aligns global standards with U.S. protections.
- The **Economic Espionage Act of 1996** extends U.S. jurisdiction to certain foreign acts, especially involving U.S. persons or conduct linked to the U.S.

To maintain trade secret protection globally, companies should use:

- **Employment and nondisclosure agreements**
- **Internal and physical security measures**

Thus, international frameworks and national laws together offer a strong legal foundation for protecting trade secrets abroad.

Law of unfair competition

- ❖ **passing off**
- ❖ **Misappropriation**
- ❖ **Right of publicity**
- ❖ **Dilution of trade marks**
- ❖ **Product disparagement**
- ❖ **False advertising**
- ❖ **Internet Piracy**

Law of unfair competition:

The term unfair competition is a broad term covering a wide variety of deceptive practices in the marketplace. The law of unfair competition continues to evolve with changes in the market place so that deceptive infomercials and false advertising on the Internet can be prohibited, just as their earlier print counterparts are.
The most commonly alleged forms of unfair competition are:
• Passing off (selling one's goods as those of another)
• Misappropriation (the taking of another's intangible commercial property right)
• Infringement of the right of publicity (appropriating another's identity or persona for commercial purposes)
• Dilution (use of a mark that is likely to cause blurring or tarnishment of another's famous trademark or service mark)

• Product disparagement (making false or deceptive representations about another's goods or services)
• False advertising (making false or deceptive representations about the nature of one's own goods or services)
• Internet piracy (use of internet and making the false business)

Passing off:

- Passing off (or palming off) occurs when one party misrepresents its goods as those of another, such as selling inferior cola labelled as COKE® or headphones marketed as BOSE®.
- Reverse passing off happens when a defendant removes the original mark from a product and sells it as their own.
- It protects consumers from confusion when trademark protection doesn't apply, allowing for injunctions and damages.
- Passing off also includes false advertising, for example, falsely claiming to be an authorized dealer of MAYTAG® products, harming the brand's reputation.
- Counterfeiting is an extreme form of passing off involving fake goods with counterfeit trademarks, common in luxury brands like Rolex, Louis Vuitton, and Kate Spade.

- Counterfeit products can pose serious risks, such as fake infant formula or counterfeit drugs lacking medicinal ingredients.
- The Lanham Act (federal law) addresses passing off with expanded remedies, including fines and jail terms.
- Enforcement efforts target not only sellers but also landlords, shippers, and financial services involved in counterfeit supply chains.

Misappropriation

Origin of Doctrine: Misappropriation as unfair competition began with International News Service (INS) vs. Associated Press, (AP) 248 U.S. 215 (1918), where the Supreme Court held that taking time-sensitive news gathered by another party without permission was an unlawful appropriation of valuable labor and investment.

Legal Basis: Since facts (like news) aren't copyrightable, AP couldn't sue for copyright infringement. Instead, it claimed a quasi-property right in the news it gathered, which the Court upheld, condemning INS for reaping benefits without having contributed labor.

Modern Application: Courts today apply the doctrine narrowly to situations like "hot" news, sports scores, or proprietary indices, requiring near-identical factual circumstances and clear evidence of free-riding.

Right of Publicity

Definition and Scope:

The right of publicity gives individuals—especially public figures and celebrities—the ability to control and profit from the commercial use of their identity. This includes names, photographs, likenesses, voices, or any recognizable aspect of a person's persona. It prevents others from using that identity in advertising, product promotion, or endorsements without permission. Though most cases involve celebrities, this right also applies to private individuals. Unlike trademark or copyright law, publicity rights protect personal identity from commercial exploitation regardless of whether there's consumer confusion or deception.

Legal Landscape and Remedies:

Publicity rights are governed by state law, leading to a fragmented system. About 20 states have specific statutes, others rely on common law, and a few do not recognize it at all. California provides some of the strongest protections. No federal statute currently exists, though there are calls for one. Infringement can lead to injunctions, compensatory damages, recovery of profits, and even punitive damages. Publicity rights are distinct from privacy rights and focus on preventing unjust enrichment and loss of commercial value.

Dilution:

Definition & Law:

Trademark dilution protects famous marks from losing distinctiveness through blurring or tarnishment, even without consumer confusion or competition. Governed by the Trademark Dilution Revision Act (TDRA), the law applies only to marks widely recognized by the general public, not niche markets.

Blurring & Tarnishment:

Blurring weakens a mark's uniqueness by linking it to unrelated products (e.g., TIFFANY RESTAURANT). Tarnishment harms reputation by associating a mark with offensive or low-quality content (e.g., "Enjoy Cocaine" mimicking Coca-Cola). Both forms dilute consumer perception.

Remedies & Exceptions:

Typical remedies include injunctions and, for willful violations, monetary damages. Exceptions include comparative advertising, news, parody, and noncommercial use, which are not actionable under the TDRA.

Product disparagement

Definition & Elements:

Product disparagement (also called commercial disparagement or trade libel) involves false statements made intentionally or recklessly about another's goods or services, causing specific economic harm. The statements must be clearly disparaging and not mere opinion, puffery, or protected free speech.

Proof Requirements:

At common law, the plaintiff must show the defendant acted with intent to harm or reckless disregard for the truth, and must prove actual monetary loss, such as lost contracts or customers. Mere likelihood of harm is insufficient.

Lanham Act Advantage:

Under Section 43(a) of the Lanham Act, plaintiffs don't need to prove intent or actual harm—only that they're likely to be damaged by false commercial statements. This makes federal claims more attractive than common law actions.

False Advertising:

False Advertising Under the Lanham Act:

False advertising under Section 43(a) includes literally false claims and impliedly false or misleading claims likely to deceive consumers. Examples include misleading pricing, unsubstantiated product superiority, and deceptive product images. In comparative advertising, a plaintiff must show the advertiser's product is not superior or equivalent as claimed. Claims must be provable—subjective puffery is not actionable. Courts may require consumer surveys or expert testimony to show deception, especially for technical claims. Remedies include injunctions to stop or correct false statements and monetary relief in cases of willful deception. The law does not require that the competing product be explicitly named; comparative claims are actionable even without directly referencing the competitor. The standard requires showing that a substantial portion of the audience was likely misled, not just a few. This makes it a powerful tool for businesses harmed by deceptive marketing practices.

Examples and Limits of Claims:

Courts have applied Section 43(a) in many contexts, including advertising that falsely suggests celebrity endorsements or misrepresents a product's nature. Notable cases have protected the Dallas Cowboys Cheerleaders' uniforms, drug capsule shapes, and even Tom Waits' voice from commercial misuse. Ads found unlawful include: claiming orange juice was "fresh" when it was processed, stating a motor oil was superior without proof, and using false "Made in" labels. Permissible uses under the Act include truthful comparative advertising, parody, and noncommercial commentary. Misstatements must be factual to be actionable; opinions or exaggeration ("puffery") generally are not. Section 43(a) helps ensure fair competition by preventing businesses from unfairly profiting through deception or misappropriation of goodwill. While it offers broad protection, the claim must still be grounded in commercial context and backed by evidence that consumers are likely to be misled or confused by the representation.

Internet Piracy (India-focused and current as of 2025):

- **Cinematograph (Amendment) Act, 2023**: Criminalizes unauthorized recording or distribution of films; penalties include imprisonment (3 months to 3 years) and fines up to 5% of the film's production cost.
- **Copyright Act, 1957**: Provides civil and criminal remedies for piracy, including injunctions, damages, and up to 3 years' imprisonment.
- **Information Technology Act, 2000**: Section 66 penalizes online piracy with fines up to ₹2 lakh and imprisonment.
- **Maharashtra Intellectual Property Crime Unit (MIPCU)** and cyber police have cracked down on piracy apps (e.g., Thop TV) and unauthorized streaming sites.
- **Recent enforcement**: Piracy-related arrests, internet café raids (e.g., "Empuraan" case in Kerala).

- **Challenges**: VPNs, international hosting, low public awareness.
- **Industry response**: OTT platforms and film chambers are filing legal complaints and collaborating with authorities.
- **Need for action**: Stronger cross-border cooperation and awareness campaigns are essential to deter digital piracy.